FORMER ASCO HQ AL/MC PAD

Florham Park, Morris County, NJ · 114 units (78 AL · 36 MC) · 4 acres · 45 min to Midtown

Recommendation: Absorption thin. With Arbor Terrace's 80 units counted, the project needs about 30% of unmet demand in a 7-mile market. Get a NIC MAP pull and a pre-leasing plan before LOI. Florham Park is the one Morris County pad to advance.

CAPITAL REQUIRED	EQUITY · LOAN	YIELD ON COST · FULLY TAXED
$58.3M	**$23.3M · $35.0M**	**7.75%**

LEVERED IRR · MULTIPLE	PROFIT AT STABILIZATION	AT RISK BEFORE APPROVAL
17.2% · 1.88x	**$20.5M**	**$2.62M**

THESIS

- **Approvability.** Town relies on this site for affordable compliance; Arbor Terrace 100-bed AL approved 2024. Opposition risk is low-medium.
- **Deal route.** JV with Garden Homes to add AL/MC. Garden Homes owns 55 ac for 305 age-restricted; pad carve-out.
- **Need and rents.** Need 58, rent support 89 and approval 62 on a 100-point scale. About 11,894 age- and income-qualified households 75+ in the 7-mile market.
- **Returns.** 7.75% yield on cost against a 6.5% floor. Value at a 6.50% exit cap is $80.4M on trended NOI of $5.23M. Max land at the floor is $16.9M against a $5.7M basis.

SOURCES AND USES

Land	$5.70M
Hard cost	$32.27M
Site work	$1.08M
Contingency	$1.67M
FF&E	$2.51M
Soft cost	$6.67M
Construction interest	$2.76M
Lease-up reserve	$5.65M
Total uses	**$58.31M**
Equity, 40% (LP 90% / GP 10%)	$23.32M
Construction loan, 60% LTC	$34.98M

SCHEDULE

Predevelopment and approvals	9 mo
Construction	20 mo
Lease-up to stabilization	30 mo
Site control to sale	**59 mo**

TEAM

Operator, first call	Engel Burman
Operator, second	Benchmark / National Development
General contractor	IMC Construction (alternate O.A. Peterson Construction)

DOWNSIDE CASES

CASE	YOC	UNLEV. IRR	LEV. IRR	MULTIPLE	PROFIT
Base case	7.75%	9.8%	17.2%	1.88x	$20.5M
Rents −10%	6.90%	5.9%	10.9%	1.51x	$11.7M
Hard costs +10%	7.22%	7.4%	13.4%	1.65x	$16.2M
Exit cap +50 bps	7.75%	7.3%	13.3%	1.64x	$14.9M
Lease-up +6 months	7.60%	8.4%	15.0%	1.86x	$20.5M
Combined downside	**6.32%**	**1.0%**	**2.1%**	**1.10x**	**$2.4M**

All four shocks at once (rents −10%, hard costs +10%, exit cap +50 bps, lease-up +6 months) take yield on cost to 6.32% and the levered IRR to 2.1%, still $2.4M of profit at stabilization.

STRUCTURING THE DOWNSIDE

> **Recommended: GMP contract.** GMP contract holds breakeven: the combined downside still returns $5.4M of profit (6.64% YOC, 4.7% levered IRR).

STRUCTURE	BASE YOC	BASE PROFIT	DOWNSIDE YOC	DOWNSIDE PROFIT	BREAKEVEN?
As underwritten	7.75%	$20.5M	6.32%	$2.4M	Yes
GMP contract	**7.75%**	**$20.5M**	**6.64%**	**$5.4M**	**Yes**
GMP + PILOT	8.58%	$28.9M	7.45%	$13.4M	Yes
GMP + ground lease	7.94%	$20.2M	6.71%	$5.5M	Yes
GMP + PILOT + ground lease	8.86%	$28.7M	7.60%	$13.5M	Yes
GMP + operator master lease	7.29%	$6.8M	7.12%	$1.6M	Yes
Fee development for a nonprofit	9.25%	$35.7M	8.09%	$19.8M	Yes

KEY RISKS AND HOW WE CLOSE THEM

Entitlement	Amend existing approval; approval odds 57% (Even). 305 age-restricted tied to 4th-round plan; AL needs amendment + CN.
Lease-up	30 months to stabilization at industry-norm net move-ins (2–4 a month for AL/MC, 3–6 for IL; NIC MAP). The downside case adds 6 months.
Rents	Rents run at 0.98x the base rate card, a calibrated estimate. A NIC MAP pull and a rate shop of the competitive set come before LOI.
Absorption	Survives, thin. Florham Park has the deeper and wealthier 75+ base. With Arbor Terrace in the supply set the project still needs about 30% of unmet demand at a 10% need rate (16% at 12%): above the lender comfort band of 10–15%, so it needs a NIC MAP pull and a pre-leasing plan before LOI.
Taxes	Underwritten fully taxed at $8,500 a unit; an assessor letter confirms it before LOI.

NEXT STEPS

1. Pitch Garden Homes.
2. Gate 1 · Feasibility by month 3, $0.16M at risk. Counsel confirms the amend existing approval path; the massing fits bulk and parking; Phase I and wetlands flagging are clean.
3. Gate 2 · Political read by month 6, $0.26M at risk. Staff sees a path; mayor and a board majority are neutral or supportive; no organized opposition after abutter meetings.

Model outputs for screening, not an appraisal, offer or investment advice. Estimates are replaced with NIC MAP and assessor data before LOI. Full dossier: senior-living-pipeline-1cia.vercel.app/sites/NJ-04. Excel model: senior-living-pipeline-1cia.vercel.app/models/ATCO-NJ-04-proforma.xlsx